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EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

October 9, 2026 · Exos Aerospace Systems & Technologies, Inc.

1. What SSLC Holders Receive

The Exos offer delivers liquidity, debt relief, and equity upside — without requiring any additional capital call from current SSLC shareholders.

The up-front price reflects what the numbers support today. The earn-outs are how that value grows: as goals are met — IM tank deliveries, revenue milestones and the Exos listing — SSLC holders share directly in the upside.

Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.

Component	Low	Base	High	When / Notes
Cash at close	$2,510K	$2,510K	$2,510K	Close ~Q1 FY27
SSLC transaction costs	$60K	$60K	$60K	Close; seller-side
Credit for Exos's existing stake	$790K	$790K	$790K	Close (non-cash credit)
SSLC debts paid at face	$500K	$500K	$500K	Close; ~$500K TBV in QB
Working-capital bridge	$500K	$500K	$500K	Close
Exos equity — 0.5% EAI units at 409A (~$170M)	$850K	$850K	$850K	Committed at SSLC board acceptance; issued at financing close
Subtotal: funding at close	**$5,210K**	**$5,210K**	**$5,210K**	
Tank earn-out (5 yrs, 5%/yr, cap $300K/yr)	$750K	$1,250K	$1,500K	FY27–FY31; low 3%/base 5%/high 7% × IM rev; $300K/yr cap
Milestone M1: SSLC FY2026-27 rev ≥$5.1M	$200K	$200K	$200K	Pays FY28 Q1 if verified (all scenarios: mgmt base case)
Milestone M2: Nebula/OTV production contract signed	—	$200K	$200K	Pays at contract execution (any year FY27–FY30)
Milestone M3: SSLC annual rev ≥$10M	—	$250K	$250K	Pays first year threshold hit (est. FY29 at base/high)
Milestone M4: SSLC annual rev ≥$20M	—	—	$250K	Pays first year threshold hit (est. FY31 at high)
Milestone M5: BLK3 tank qualification complete	—	—	$200K	Pays at Exos BLK3 tank cert (est. FY27–FY28)
Exos stock earn-out at listing (on top of 0.5% EAI up-front)	$0	$625K	$1,500K	Post-RTO ~FY28; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A ($170M): $0/$425K/$850K. Total Exos equity: 0.5%/0.75%/1.0%.
TOTAL OFFER VALUE (5-yr)	**$6,160K**	**$7,735K**	**$9,310K**	**FY27–FY31**
Memo: Exos stock if held to FY31 (not additive to total above)	*$5.7M*	*$8.5M*	*$11.4M*	*16× EV/EBITDA; ~30% dilution; total stake 0.5/0.75/1.0% (EAI+earn-out); mgmt assumption*

Why this structure: SSLC holders receive real Exos equity at close (409A-valued, ~$850K) — not only contingent upside. It aligns them with Exos immediately. The earn-out stock is halved (0.0–0.5%), reducing Exos dilution risk.

- **No additional capital calls** Once closed, SSLC's standalone cash burn stops entirely.
- **IM program continuity** Exos-SSLC continues the Intuitive Machines contract with no delivery interruption.

2. Why the Growth Trajectory Requires Exos Capital

The bottleneck is not the technology or the IM demand — it is working capital. SSLC's most recent quarter (FY27 Q1) came in at $713K in revenue. Hitting $5.1M for FY27 requires averaging $1.46M per quarter in Q2–Q4 — approximately 2.05× that pace — starting immediately. That doubling is not achievable on SSLC's current $198K cash balance.

Standalone constraints (SSLC's own numbers):

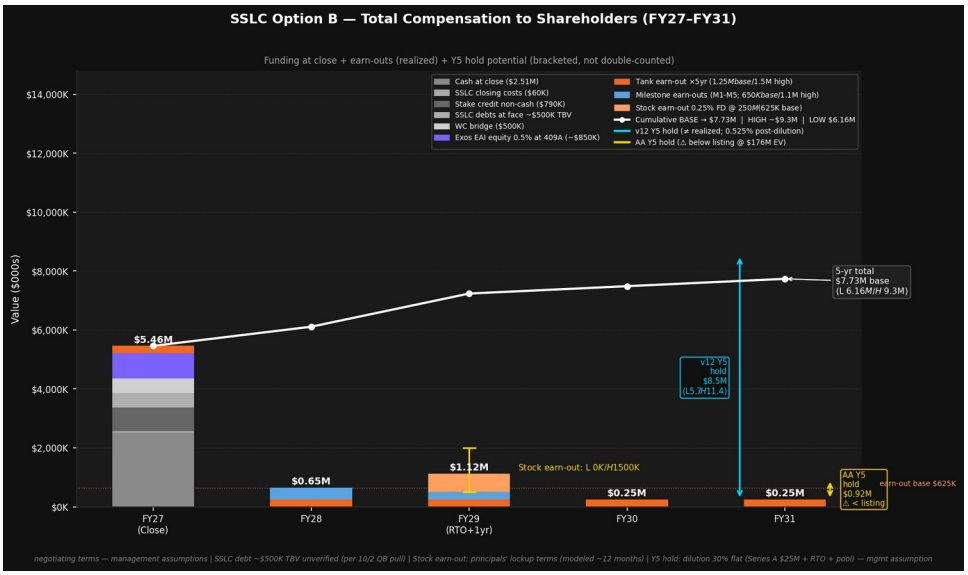
- **Cash position** $198K at October 2, 2026 — roughly one month of operating burn.

- **Working capital gap** $300K–$700K needed to maintain delivery commitments and service new IM orders — before SSLC can ramp to the $5.1M/year target run rate.
- **Operating history** FY26 operating loss: −$416K. No self-funding path to production scale.
- **He-tank rework** Rev3 GHe tank 4,400 psi proof issue unresolved (MC #3056). Remediation cost ~$175K to COPV ($300K gap). Resolves cleanly as intercompany under Exos.
- **No capex capacity** Production-scale equipment and headcount additions are not fundable from SSLC's cash position. Growth is capped at current run-rate without outside capital.

The With-vs-Without comparison, year-by-year CAGR figures, and cumulative revenue gap are in the model spreadsheet: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx, sheet 'With vs Without Exos Capital'.

3. Total Compensation — 5-Year View (FY27–FY31)

See chart: SSLC_OptionB_Total_Compensation_5yr_2026-10-07.png | Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'Total Compensation' sheet.



4. Key Terms

Term	Detail
Agreement basis	May 2025 Asset Acquisition Agreement, §3 exclusivity trigger (non-exclusive → exclusive upon Exos financing agreement)
Total commitment	$4,210,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + ~$850K EAI equity at 409A)
Exclusivity period	90 days from SSLC confirmation; extension not unreasonably withheld while financing works in good faith (§3)
Holdback (§7)	5% escrow, released at 12-month anniversary
SSLC debts assumed	Paid at face at close (est. ~$500K; verify QuickBooks)
Disinterested directors	John Quinn abstains from SSLC board vote; sends as Exos CEO (Cal. Corp. Code §310)
Fairness opinion	Eqvista engaged 8/14/2026; agreement still unsigned (held ~1 month)
Status	DRAFT — NEGOTIATING TERMS — not a final or binding offer

Detail in model: drafts/EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without comparison: sheet 'With vs Without Exos Capital' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx

DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09